Q18

An unmodified audit report indicates that a company's external auditor has completed all required audit work, has reviewed the financial statements and is satisfied that the statements present the company's performance and position fairly. [1]

Shareholders are reassured that the financial statements have been prepared in accordance with accounting standards and that the figures are not materially misstated. [1]

The figures are not necessarily free for error and there could be some debate about the suitability of accounting treatments, but the financial statements should be suitable for a review of stewardship. [1]

There is a limit to the extent to which a shareholder or other stakeholder might rely on the financial statements, even if the audit report is unmodified. [1]

For example, auditors test account balances using sampling techniques and so there is always some risk of sampling error in the process of audit testing. [1]

[Maximum 5]

[Total 5]

Commentary:
On the whole, this question was answered reasonably well. Many candidates understood what an unmodified report meant and were able to discuss the key issues. Very few candidates mentioned that auditors do not test 100% of the balances and few discussed that the accounts may not be 100% correct and free from error.